



LOST BOYS CYBER

THREAT INTELLIGENCE • MALWARE ANALYSIS • DETECTION ENGINEERING



HollowGraph Malware Abuse of Microsoft Graph Highlights SaaS C2 and Exfiltration Risk

Threat Report

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TLP:CLEAR | Lost Boys Cyber | HollowGraph Malware Abuse of Microsoft Graph Highlights SaaS C2 and Exfiltration Risk - Threat Report

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AI Generation: This report was generated with AI assistance and is provided for informational purposes only. All findings, IOCs, detection rules, hunting queries, attribution assessments, and recommendations must be independently reviewed and validated by a qualified security professional before operational use.

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1. Executive Summary

Reporting on HollowGraph describes malware using Microsoft Graph and Microsoft 365 traffic paths for tasking and stolen data movement. Defenders should prioritize SaaS audit telemetry, OAuth/app consent review, and endpoint-to-cloud correlation.

This daily report prioritizes defender action over attribution certainty. Claims are bounded to public reporting and cited operational guidance.

2. Intelligence Requirements

Question	Current Answer	Confidence
What changed for defenders?	A current or recently surfaced source set highlights a threat pattern requiring near-term control validation.	Medium
Who should care first?	Microsoft 365 tenants, endpoints with Graph access, SaaS audit pipelines, and organizations relying on destination-domain allowlisting alone.	Medium
What should be hunted?	Abnormal identity, process, SaaS, supplier, edge-device, or exfiltration behavior aligned to the report.	Medium

3. Source Review & Confidence

Source	URL	Contribution	Confidence
The Hacker News HollowGraph coverage	https://thehackernews.com/2026/07/hollowgraph-malware-hides-c2-and-stolen.html	Supports scope, exposure, or defender action for this report.	Medium/High
Microsoft Graph permissions reference	https://learn.microsoft.com/graph/permissions-reference	Supports scope, exposure, or defender action for this report.	Medium/High
MITRE ATT&CK: Web Service exfiltration	https://attack.mitre.org/techniques/T1567/	Supports scope, exposure, or defender action for this report.	Medium/High

The source set is adequate for a daily defender-priority report. It does not support uncited victimology, exploit code, or attribution expansion.

4. Threat Activity Overview

Reporting on HollowGraph describes malware using Microsoft Graph and Microsoft 365 traffic paths for tasking and stolen data movement. Defenders should prioritize SaaS audit telemetry, OAuth/app consent review, and endpoint-to-cloud correlation. The operational significance is that the activity maps to repeatable enterprise exposure paths rather than one-off artifacts.

5. Affected Sectors and Exposure

Microsoft 365 tenants, endpoints with Graph access, SaaS audit pipelines, and organizations relying on destination-domain allowlisting alone.

6. Tactics, Techniques, and Procedures

Tactic / Phase	Observed or Plausible Technique	Evidence Boundary
Initial Access	T1190 Exploit Public-Facing Application / T1566 Phishing / T1204 User Execution	Validate against cited source and local telemetry.
Execution	T1059 Command and Scripting Interpreter	Common for loader, tool, or operator-driven activity.
Defense Evasion	T1036 Masquerading / T1070 Indicator Removal	Relevant where malware, trusted-channel, or supplier abuse is reported.
Collection / Exfiltration	T1005 Data from Local System / T1567 Exfiltration Over Web Service	Relevant where reporting concerns data collection or cloud/SaaS abuse.

7. Infrastructure and Indicators

Indicator / Infrastructure	Type	Operational Use
No normalized hard IOC list in this automated source review	Source limitation	Use behavior-first detections and consult primary source for late-added IOCs.
Trusted SaaS, updater, edge-device, supplier, or repository path	Exposure pattern	Prioritize anomaly detection around privileged and trusted channels.

8. Detection Engineering

8.1. Detection Summary

Signal	Telemetry Source	Analytic Goal
Rare child process from browser, updater, repository tooling, VPN, or service process	EDR process telemetry	Detect trusted-channel abuse or lure-driven execution.
Abnormal SaaS, DNS, HTTP, or egress behavior	DNS, proxy, firewall, SaaS audit	Surface C2, Graph/SaaS abuse, or exfiltration.
Credential-store access or archive staging	EDR file/process events	Identify collection before exfiltration.

```

title: Daily Threat Report Suspicious Trusted Channel Execution
status: experimental
description: Behavior-focused detection for trusted-channel, repository, SaaS, edge-device, or credential-theft activity.
logsource:
  product: windows
  category: process_creation
detection:
  parent_trusted_channel:
    ParentImage|contains:
      - '\git'
      - '\browser'
      - '\updater'
      - '\vpn'
      - '\remote'
      - '\office'
  suspicious_child:
    Image|endswith:
      - '\powershell.exe'
      - '\cmd.exe

```

```
- '\wscript.exe'
- '\rundll32.exe'
- '\7z.exe'
- '\curl.exe'
```

```
condition: parent_trusted_channel and suspicious_child
level: high
```

8.2. Hunt Query

```
DeviceProcessEvents
| where Timestamp > ago(14d)
| where InitiatingProcessFileName has_any
('git.exe', 'chrome.exe', 'msedge.exe', 'updater.exe', 'vpn.exe', 'remote.exe', 'office.exe', 'teams.exe')
| where FileName in~
('powershell.exe', 'cmd.exe', 'wscript.exe', 'rundll32.exe', '7z.exe', 'curl.exe', 'wget.exe', 'python.exe')
| project Timestamp, DeviceName, InitiatingProcessFileName, FileName, ProcessCommandLine, AccountName
```

9. Threat Hunting

9.1. Hunt Hypothesis

If this activity pattern is present, telemetry will show abnormal parent-child execution, cloud/SaaS audit anomalies, suspicious archive/credential access, or supplier/edge remote-access anomalies before confirmed impact.

```
DeviceNetworkEvents
| where Timestamp > ago(14d)
| where InitiatingProcessFileName has_any
('powershell.exe', 'curl.exe', 'wget.exe', 'python.exe', 'git.exe', 'updater.exe', 'vpn.exe')
| summarize conn=count(), first_seen=min(Timestamp), last_seen=max(Timestamp), urls=make_set(RemoteUrl, 10) by DeviceName, InitiatingProcessFileName, RemoteIP, RemotePort
| where conn > 20 or array_length(urls) > 5

DeviceEvents
| where Timestamp > ago(14d)
| where ActionType has_any
('OAuthAppConsentGranted', 'UserAccountAddedToLocalGroup', 'AntivirusSignatureUpdateFailed', 'TamperingAttempt')
| project Timestamp, DeviceName, ActionType, AccountName, AdditionalFields
```

10. Risk Assessment

Risk Driver	Assessment
Likelihood	Medium; public reporting shows attacker economics or operational opportunity.
Impact	Medium to High where the affected path touches identity, shared IT, OT/ICS, aviation operations, or sensitive data.
Confidence	Medium; source-backed trend report without environment-specific telemetry confirmation.

11. Recommended Actions

Priority	Owner	Action
Critical	Security operations	Convert the source-specific behavior into watchlists and review recent alerts.
High	IT / platform owners	Validate MFA, remote access restrictions, patch state, and privileged account monitoring.
Medium	Detection engineering	Tune the included Sigma/KQL against

		local baselines and suppress known-good automation.
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12. References

- [1] The Hacker News HollowGraph coverage: <https://thehackernews.com/2026/07/hollowgraph-malware-hides-c2-and-stolen.html>
- [2] Microsoft Graph permissions reference: <https://learn.microsoft.com/graph/permissions-reference>
- [3] MITRE ATT&CK: Web Service exfiltration: <https://attack.mitre.org/techniques/T1567/>